

Capital Gains Tax & Negative Gearing Bills

The Bill containing some of the Government's key tax measures announced in the 2026-27 Federal Budget was introduced into parliament on 28 May 2026. The [*Treasury Laws Amendment \(Tax Reform No. 1\) Bill 2026*](#) contains the following amendments:

- From 1 July 2027, the 50% CGT discount available to individuals and trusts will be replaced with cost base indexation. Transitional arrangements are proposed to ensure the existing CGT discount regime continues to apply for assets acquired and disposed of before 1 July 2027, and for any capital gains accrued prior to 1 July 2027. Companies will not be eligible for cost base indexation (and are currently not eligible for CGT discount). Complying superannuation funds will remain eligible for the 1/3rd CGT discount.
- A minimum 30% tax will apply to capital gains from 1 July 2027 (thereby reducing the ability of taxpayers to defer realising their capital gains to income years in which their marginal rates are low). Exemptions will be in place for income support recipients to ensure low-income individuals are not adversely affected by this minimum tax.
- Special concessions will be in place for assets that are new residential builds, where individual investors can choose between the existing 50% CGT discount and the new rules. The CGT discount for affordable housing investments of between 50% to 60% per current settings will also continue to be available.
- Gains from pre-CGT assets will be subject to tax to the extent that they accrue for the period from 1 July 2027. For CGT event K6 purposes, all pre-CGT assets will be deemed to be sold and re-acquired on 1 July 2027 resulting in a potential tax liability. However, such a tax liability will be deferred until actual future disposal of the asset.
- From 1 July 2027, net rental losses from residential dwellings acquired on or after 7.30pm AEST on 12 May 2026 will be quarantined to only be deductible against net assessable income from non-quarantined residential dwellings used or held for residential accommodation, or to reduce revenue or capital gains on residential dwellings. However, net rental losses from new residential dwellings will not need to be quarantined. Further, widely held trusts and complying superannuation funds will not be subject to these new rules.
- A non-refundable offset of up to \$250 will be available for Australian resident individuals who earn labour income from FY28.
- A \$1,000 standard deduction will be available from FY27 for Australian resident individuals who have assessable labour income. Individuals with more than \$1,000 in genuine work-related expenses can continue to itemise and substantiate their claims.

The House of Representatives sits from 2-4 June 2026 and it is expected that the Bill will pass the house given the Government's majority. The Senate is then expected to consider the bill in the sitting fortnight of 22 June 2026 to 2 July 2026. It is unusual for such material changes to be legislated with such limited consultation and without the benefit of considering exposure draft legislation in the first instance. In this regard, the Government has noted that there will be further (separate) legislation on specific implementation details of the tax package, including interaction with other areas of the law including for AMITs, tax consolidation and residency changes.

For most taxpayers, the proposed changes will introduce significant complexity into their tax affairs and positions. Moreover, there remain a myriad of technical and practical issues in the new rules that are uncertain. OmniTax Professionals will work through these issues with their clients and will participate in further consultation with Treasury and/or the ATO.

Decision Impact Statement – Baya Casal Case

In *FC of T v Baya Casal* [2026] FCAFC 11, the taxpayer had received a payment for 13 weeks' pay after being terminated from her role as an early learning centre assistant. Although she was offered to be redeployed to other roles, the alternative roles involved a reduction of total weekly hours and she chose not to accept them. The taxpayer argued the payment was a genuine redundancy payment and the Commissioner disagreed. The Full Federal Court held in favour of the taxpayer noting that the position is one of fact and degree requiring an evaluative holistic analysis and that a reduction in hours and remuneration is a relevant factor to be considered as part of this analysis.

The ATO has now accepted that a material reduction in hours and remuneration for an employee who is paid hourly is a relevant factor when considering the question of whether the employee's position is genuinely redundant. A [decision impact statement](#) has been issued by the ATO on the matter.

Importantly, whilst the ATO has agreed to the relevance of reduced hours in considering the question of genuine redundancy, it does not mean that any reduction in hours and remuneration of a position will constitute a redundancy – the degree of reduction and the nature of the work is still relevant. The position ultimately is one of fact and degree, and not one where a 'bright-line test' is appropriate.

Foreign Resident CGT Regime

Exposure draft legislation released on 28 April 2026 seeks to extend Australia's foreign resident CGT regime to taxing gains made by foreign residents on such things as licence arrangements for data centres, renewable energy assets, substations, rights relating to gas pipelines, mining plant and equipment and water entitlements. This is on the basis that such investments fit within the proposed new definitions of 'real property' and Taxable Australian Real Property.

Consultation on this exposure draft legislation remains ongoing despite the budget announcement being consistent with such legislation. Coincidentally, other CGT changes announced in the Federal Budget provide taxpayers with an ability to retain existing positions up to the time that the new law is in effect (e.g., ability to apply CGT discount until 30 June 2027; a market value cost base on 30 June 2027 for pre-CGT assets, etc). However, the changes to the foreign resident CGT regime do not provide any such market value reset to the cost base of assets that were previously excluded from taxation in Australia for non-residents but are now real property or Taxable Australian Real Property under the revised regime.

Rental Properties & Holiday Homes – Final ATO Guidance

The ATO has finalised its guidance for individuals on income and deductions relating to rental properties including holiday homes, where such properties are not being used in carrying on a business. Such guidance is provided in Taxation Ruling [TR 2026/1](#) (which replaces Income Tax Ruling [IT 2167](#)), Practical Compliance Guidelines [PCG 2026/2](#) and [PCG 2026/3](#).

Some key concepts from the guidance (consistent with the previous draft guidance) include:

- *Availability of property for rental during peak seasons is a key factor* – if a holiday home is not available or used as a rental for all or most of the time when it is desirable as a holiday destination (e.g., school holidays, public holidays, peak seasonal demand periods), this will indicate that the main use for holding the holiday home is not to produce assessable income. This may result in a denial of deductions under the "leisure facility rules".
- *Tougher tests on commercial intent and rental availability* – it is not enough to demonstrate that a property is used (or held for use) mainly for producing assessable income through a simple analysis of "rental days" versus "private use days" and being able to show that the property is available for rent. Other qualitative factors need to be considered including pattern of use of the property and the times when it is held for private use. Any personal use or use by a family / friend on a rent-free or below market rent basis indicates that the property is not used to produce assessable income.
- *Taxpayers must maintain good record keeping to support tax deductions* – the ATO guidance requires taxpayers to be able to clearly demonstrate the stay history of mixed-use properties with the property being genuinely available for rent during peak periods on commercial terms, and the acceptance of reasonable rental requests.

Stapled Structures – Ex-NCMI

On 30 June 2026, the 7-year transitional relief for managed investment trust non-concessional MIT income ("NCMI") is due to expire. As a result, such income will be subject to a 30% withholding tax rate for foreign investors from 1 July 2026.

Investors and fund managers should ensure that they apply the higher withholding tax rate on distributions to investors. In particular, fund managers should ensure that any distributions previously subject to the lower concessional tax rate under the transitional relief are disclosed as NCMI (and not ex-NCMI) amounts from 1 July 2026.

Note, any amounts distributed by a MIT that continue to benefit from an exemption (such as from an economic infrastructure facility, under the *de minimis* exemption or where the distribution is sourced from third party rent) should remain disclosed as ex-NCMI.

Payday Super – Exceptional Circumstances Concession

Under the Payday super framework, employers can be allowed additional time to meet their employee superannuation obligations if the Commissioner considers that they have been impacted by "exceptional circumstances". A draft practice statement [PS LA 2026/D3](#) has been released to provide guidance on the ATO's approach to deciding when the Commissioner's power to make such a determination should be exercised. The "exceptional circumstances" are prescribed as either natural disasters or widespread outages of communications technology services that affect multiple employers on a large scale.

Contact

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